Pellham & Quist LLP

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LEGAL LETTER

To the attest team · re: HANGS Construction Services LLC · in reply to the audit inquiry of September 28, 2026

Date:	**October 19, 2026**
Client:	**HANGS Construction Services LLC**
Period covered:	**July 1, 2025 to October 19, 2026**
Matters reported:	**3**

At our client's request we describe below the pending or threatened litigation, claims and assessments on which we have been engaged and to which we have devoted substantive attention on its behalf. This response is limited by our client's instructions and the ABA Statement of Policy, and speaks as of its date.

Matter 1: Corliss Medical Group PLLC: suit to foreclose HCS's lien for the $186,935.00 final billing

Matter 1 status:	**Settled October 8, 2026**
Matter 1 amount:	**$110,000.00**

After mediation on October 6, 2026, the parties signed a settlement: Corliss pays $110,000.00 by October 30, 2026 in full settlement of the $186,935.00 billed; HCS releases its lien and dismisses the suit on payment. The settlement agreement is attached.

Matter 2: Brindlewood School District No. 14: liquidated damages of $41,250.00 under section 8.3

Matter 2 status:	**Final; extension denied September 15, 2026**
Matter 2 amount:	**$41,250.00**

HCS asked on July 20, 2026 for a 12-day extension. The district denied it on September 15, 2026. On our advice HCS will not contest; the damages are final.

Matter 3: HCS's backcharge claim against Harrowgate Precast Inc. for the Tideflats panels

Matter 3 status:	**Asserted by HCS; not filed**
Matter 3 amount:	**Not estimable**

A claim by our client, not against it. We cannot predict its outcome or amount.

Unasserted claims: we have not been asked to advise on, and are not aware of, any unasserted claim or assessment that is probable of assertion. No other pending or threatened litigation.

Celeste Quist, Partner, Pellham & Quist LLP

Demonstration document. Every name and figure is invented.

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SETTLEMENT AGREEMENT

Attachment to the letter of October 19, 2026 · settlement agreement and mutual release

Agreement date:	**October 8, 2026**
Parties:	**HANGS Construction Services LLC and Corliss Medical Group PLLC**
Disputed invoice:	**PA-2596-F**
Amount billed:	**$186,935.00**
Settlement payment:	**$110,000.00**
Payment due:	**October 30, 2026**
Lien:	**Released and suit dismissed on payment**
Mediator:	**Judge (ret.) Hollis Brandvold**
Signed for HCS:	**Celeste Whitford, President and CEO**

Each party bears its own costs and fees. The payment settles every claim arising from the clinic tenant improvement, including the disputed change order work. Neither party admits liability.

Demonstration document. Every name and figure is invented.

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FEE STATEMENT

Attachment to the letter of October 19, 2026 · fees for HANGS Construction Services LLC

Unpaid invoice 2026-0712:	**$23,480.00 for May 4 to June 30, 2026, dated July 12, 2026**
Paid invoice 2026-0815:	**$8,740.00 for July 1 to August 31, 2026, paid September 15, 2026**
Unbilled:	**$11,960.00 for September 1 to October 15, 2026**

Demonstration document. Every name and figure is invented.